



NAIROBI BUSINESS VENTURES PLC

AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH 2023

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH 2023			
	Note	2023 Shs	2022 Shs
Revenue	4	308,325,926	190,121,025
Cost of sales		<u>(291,538,146)</u>	<u>(148,333,647)</u>
Gross profit		16,787,780	41,787,378
Other income	5	15,967,632	-
Administrative expenses		(16,915,170)	(27,851,831)
Finance costs	6	<u>(604,777)</u>	-
Profit before tax	7	15,235,465	13,935,547
Tax (expense)/income	8	<u>(6,600,517)</u>	<u>36,758,068</u>
Profit for the year attributable to the owners of the Company		<u>8,634,948</u>	<u>50,693,615</u>

BALANCE SHEET AS AT 31ST MARCH 2023			
EQUITY			
Share capital	9	676,855,967	676,855,967
Share premium	9	51,400,000	51,400,000
Accumulated losses		<u>(75,248,782)</u>	<u>(83,883,730)</u>
Total equity		<u>653,007,185</u>	<u>644,372,237</u>

REPRESENTED BY

Non-current assets			
Property and equipment	12	1,046,304	1,397,739
Investment in subsidiaries	10	428,755,967	428,755,967
Intangible asset - goodwill		124,500,000	124,500,000
Deferred tax asset	16	<u>30,160,479</u>	<u>36,758,068</u>
		<u>584,462,750</u>	<u>591,411,774</u>
Current assets			
Inventories	11	14,558,327	16,012,546
Trade and other receivables	13	162,869,125	57,440,204
Cash and cash equivalents	14	<u>43,023,445</u>	<u>4,547,114</u>
		<u>220,450,897</u>	<u>77,999,864</u>
Current liabilities			
Trade and other payables	15	151,905,000	25,039,401
Current tax payable		<u>1,462</u>	-
		<u>151,906,462</u>	<u>25,039,401</u>
Net current assets		<u>68,544,435</u>	<u>52,960,463</u>
		<u>653,007,185</u>	<u>644,372,237</u>

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31ST MARCH 2023			
	Note	2023 Shs	2022 Shs
Cash flows from operating activities			
Profit for the year		8,634,948	50,693,615
Adjustments for:			
Income tax expense/(income)		6,600,517	(36,758,068)
Depreciation of property and equipment	12	351,435	469,722
Unrealised foreign exchange gain		(1,233,742)	-
Changes in operating assets and liabilities			
Increase in trade and other receivables		(105,428,921)	(25,193,780)
Decrease/(increase) in inventories		1,454,219	(16,012,546)
Increase/(decrease) in trade and other payables		<u>126,865,599</u>	<u>(3,878,466)</u>
Cash generated from/(used in) operations		37,244,055	(30,679,523)
Income tax paid		<u>(1,466)</u>	-
Net cash generated from/(used in) operating activities		<u>37,242,589</u>	<u>(30,679,523)</u>
Cash flows from investing activities			
Purchase of property and equipment	12	-	(1,810,345)
Net cash used in investing activities		-	(1,810,345)
Cash flows from financing activities			
Proceeds from issue of ordinary shares		-	16,000,000
Net cash from financing activities		-	16,000,000
Net increase/(decrease) in cash and cash equivalents		37,242,589	(16,489,868)
Adjustment for unrealised exchange gain		1,233,742	-
Cash and cash equivalents at start of year		<u>4,547,114</u>	<u>21,036,982</u>
Cash and cash equivalents at end of year	14	<u>43,023,445</u>	<u>4,547,114</u>

Trading Environment

The year under review has been tough with a myriad of challenges that have caused disruption of businesses, including the Russia-Ukraine war, challenges in the forex market, fuel and commodity price increases and the disruptions in global supply chains. Despite all this, NBV was able to deliver positive results.

Despite the profit earned in the year ended 31st March 2023, the Directors do not recommend any Dividend.

Business Overview

Trading Division

In the period under review, NBV was able to generate Kes 308.3 million in turnover against Kes 190 million in the previous year. The growth in revenue was attributed to trading in new commodities such as Caustic Soda, Sodium Silicate, Soda Ash, and many others in the chemicals industry with a customer base from all over the East African region.

Trade and other receivables as well as payables have grown substantially. This is linked to changes in the underlying business. NBV moved from trading in building materials to trading in chemicals.

Vehicle Servicing Division

Delta Automobile recorded Kes 550.6 million in turnover in the period under review, compared with Kes 595 million turnover in the previous year. The slight reduction was as a result of reduced activity in the transport sector.

Aviation Division

The business managed to generate a turnover of Kes 34.8 million during the year compared to Kes 34.9 million in the previous year. The Company continues to explore avenues of growing this business in the region.

Cement Division

Fund raising efforts are continuing and when they bear fruit, we will make the appropriate announcements in due time.

NOTE:

All subsidiaries are in the process of changing their year-end to 31st March and subsequently for the year ended 31st March 2024, consolidated financial statements will be prepared. The Board has however published the unaudited financial statements for the subsidiaries for the period 1st April 2022 to 31st March 2023 for your information.

Outlook

We believe that 2023/24 financial year will be a better year in terms of performance since we expect a better operating environment over this period and also due to various initiatives that are being pursued and implemented.

BY ORDER OF THE BOARD

VICTORIA CHEROTICH
COMPANY SECRETARY

ADDITIONAL DISCLOSURES

THE BOARD OF DIRECTORS OF NAIROBI BUSINESS VENTURES PLC IS PLEASED TO ANNOUNCE THE UNAUDITED FINANCIAL RESULTS OF THE GROUP AND COMPANY FOR THE TWELVE-MONTH PERIOD ENDED 31ST MARCH 2023 AS SET OUT BELOW

CONSOLIDATED AND COMPANY STATEMENTS COMPREHENSIVE INCOME FOR THE TWELVE-MONTHS PERIOD ENDED 31ST MARCH 2023				
ENDED 31ST MARCH 2023				
KES '000	GROUP		COMPANY	
	MARCH 2023	MARCH 2022	MARCH 2023	MARCH 2022
Trading Business:				
Sales and Other Income	909,766	814,639	324,293	190,121
Direct and other operating costs	642,689	544,694	291,538	148,333
Gross Profit/(Loss)	267,077	269,945	32,755	41,788
Administrative and other costs	241,885	248,571	17,520	27,852
Profit Before Tax	25,192	21,374	15,235	13,936

CONSOLIDATED AND COMPANY STATEMENTS OF FINANCIAL POSITION AS AT 31ST MARCH 2023				
KES '000	GROUP		COMPANY	
	MARCH 2023	MARCH 2022	MARCH 2023	MARCH 2022
Portfolio Investments	-	-	428,756	428,756
Cash and Cash Equivalents	48,595	8,764	43,023	4,547
Inventory	406,098	402,026	14,558	16,012
Other assets	2,482,027	2,344,604	194,076	95,597
Goodwill (Business combination)	-	-	124,500	124,500
Total Assets	2,936,720	2,755,394	804,913	669,412
Borrowings	498,453	514,811	-	-
Other liabilities	602,675	429,322	151,906	25,040
Total Liabilities	1,101,128	944,133	151,906	25,040
Total Equity	1,835,592	1,811,261	653,007	644,372
Share Premium				
Total Capital and Liabilities	2,936,720	2,755,394	804,913	669,412